

Costco Q2 2026 Earnings

Blind Sentiment & Directional Score: Financial results only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Costco Wholesale Corporation (COST)
Report	Fiscal Q2 2026 (12 weeks ended 15 February 2026)
Release date	Thursday 5 March 2026, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	33 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Net sales \$68.24B, up 9.1% from \$62.53B. Total company comparable sales up 7.4% (6.7% adjusted for gas deflation and FX); digitally enabled comps up 22.6%.
- Net income \$2.035B, up 13.9%. Diluted EPS \$4.58 against \$4.02, up 13.4%.
- Membership fee income \$1.355B, up 13.6%. Paid memberships 40.4M households, up 9.5%; total paid members 82.1M, up 4.8%; cardholders 147.2M, up 4.7%.

- Renewal rates: US and Canada 92.1% (down 10bps); worldwide 89.7% (flat).
- Gross margin 11.02%, up 17 basis points reported; core-on-core up 22 basis points. SG&A 9.19% against 9.06%.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.25

Rationale. A genuinely strong quarter (9.1% sales growth, 13.9% earnings growth, expanding gross margin), but this is close to what Costco reliably delivers, and SG&A ticked up.

2 Directional signal

Signal: HOLD

Rationale. Excellent execution, yet consistent with the run-rate a premium-multiple compounder is already priced for. HOLD.

3 Structured summary

- **What the source shows.** Broad strength: comps, membership income and margin all moving the right way.
- **What the source cannot show.** No guide or Q&A, so cannot hear how management frames what comes next.
- **Expectations bar.** The bar for Costco is consistency, and this clears it without exceeding it.
- **Conviction.** Mild positive lean: strong numbers, but few surprises relative to expectation.

4 Evidence quotes

1. Net sales \$68.24B, up 9.1% from \$62.53B. Total company comparable sales up 7.4% (6.7% adjusted for gas deflation and FX); digitally enabled comps up 22.6%.
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— **SEALED** —

Overnight move and call verification

COST close, 5 March 2026 (release day)	\$982.57
COST open, 6 March 2026	\$967.01
Overnight move	−1.58%

Call verification

- HOLD band test: $|-1.58\%| < 2.00\%$, inside the band, so HOLD territory.

- Sign test: The move is inside the band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **HOLD**, correct call **HOLD**, so **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 1.58%
D+1 close	+1.58%
D+3 close	+1.51%
D+5 close	+2.11%
D+10 close	−0.79%
D+20 close	+3.30%